Deutsche Bank
Research

M&A Spotlight

Megatrends supersede war fears

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Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

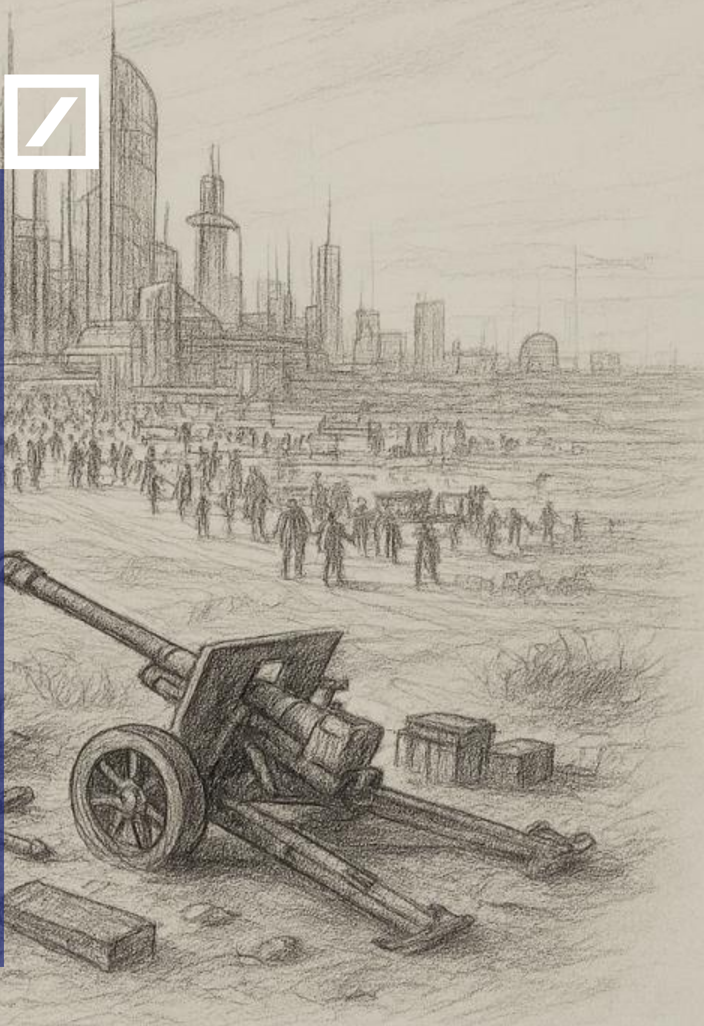


Image: Microsoft Designer

Lingering effects from the war in Iran could impact the world economy

But it depends on how much energy infrastructure has been damaged

The IMF recently analysed the impact of the war in Iran on the global economy:

Current scenario
Global growth is projected to be 3.1% in 2026 and 3.2% in 2027, slower than its recent pace of about 3.4% in 2024–25, and to settle at about that rate in the medium term.

Adverse scenario
Larger and more persistent increases in energy prices. Global growth would slow to 2.5% in 2026, and inflation will reach 5.4%.

Severe scenario
More damage to energy infrastructure in the conflict region will cut global growth to only about 2% in 2026, while headline inflation would be just above 6% by 2027.

"The impact on emerging market and developing economies would be almost twice that on advanced economies."

Source: IMF, Deutsche Bank.

How 2026 could play out under our current assumptions about the world economy (DB forecasts)

S&P 500	↑	14.8%
Stoxx 600	↑	3.2%
10yr treasury yield	↑	4.45% (+20bps)
US GDP	=	2.4% Q4 yoy
Eurozone GDP	↓	0.4% Q4 yoy
UK GDP	↓	0.8% Q4 yoy
Crude oil (assuming the SoH reopens in May)	↓	$80 p/b

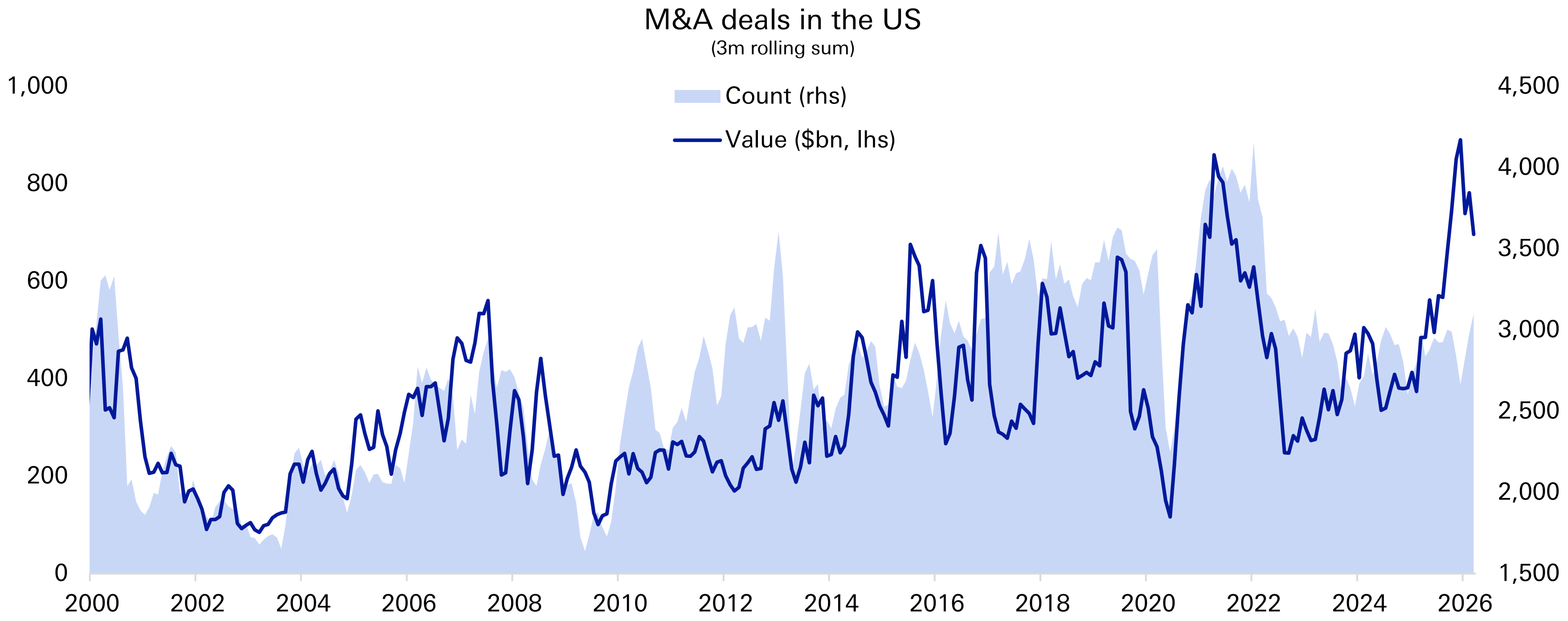
M&A themes in the shadow of the Iran war

1. Corporates are 'doing something big'	269 strategic deals in the US >$1bn in the trailing 12m as of Q1; exceeded 2021 peak
2. M&A as a growth driver	Organic revenue growth of ~5% in the US and ~4% in Europe still below prior averages – M&A being used to boost topline is a reversal of the trend in the 1st half of the 2020s
3. Asset efficiency	European divestments and carve-outs around their cyclical high, Strong trend up in US divestments
4. Defensive releveraging	US firms have delevered to 2015 levels. European firms around their multi-decade lows
5. Using M&A to hedge geopolitical risk	300% growth in US deals into Europe; 43% growth in European deals into the US
6. Operating through volatility	Focus on maintaining US profit margins at ~11%; Europe at ~8%
7. Executing without perfect visibility	20pp spread between CEO confidence and consumer sentiment in the US. Large deal execution continues unfazed despite consumers reporting their worst sentiment on record
8. Targets with autonomous supply chains	Q1 growth in M&A spread across sectors

Source: Bloomberg Finance LP, Dealogic, Deutsche Bank.

Q1 review: In the US, deal values fell after the exceptionally strong Q4 … but the number of deals is rising.

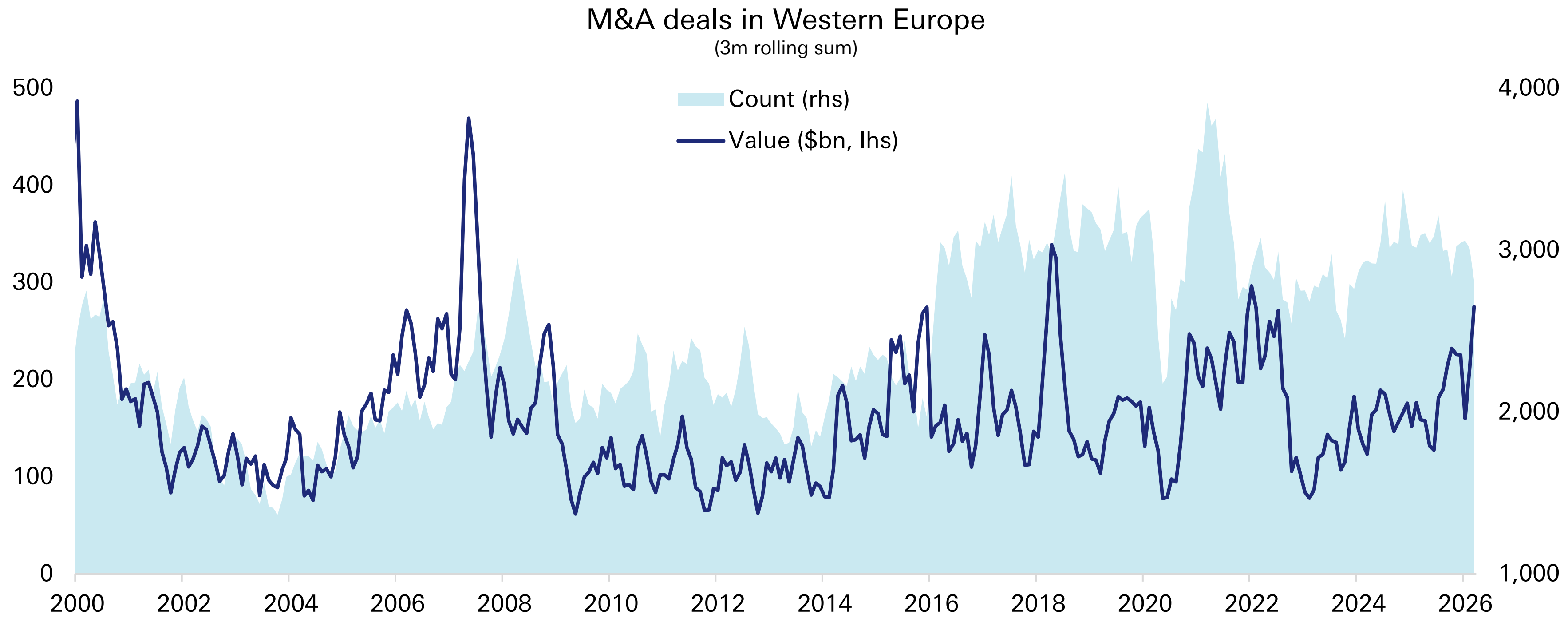
That points to a broadening M&A momentum beyond megadeals



Source: Dealogic, Deutsche Bank.

Q1 review: In Europe, large deals carried M&A despite some slowing in deal numbers

Corporates jumped into the market as peers announced deals and companies attempted to take advantage of rising dispersion and lower valuations in some quarters

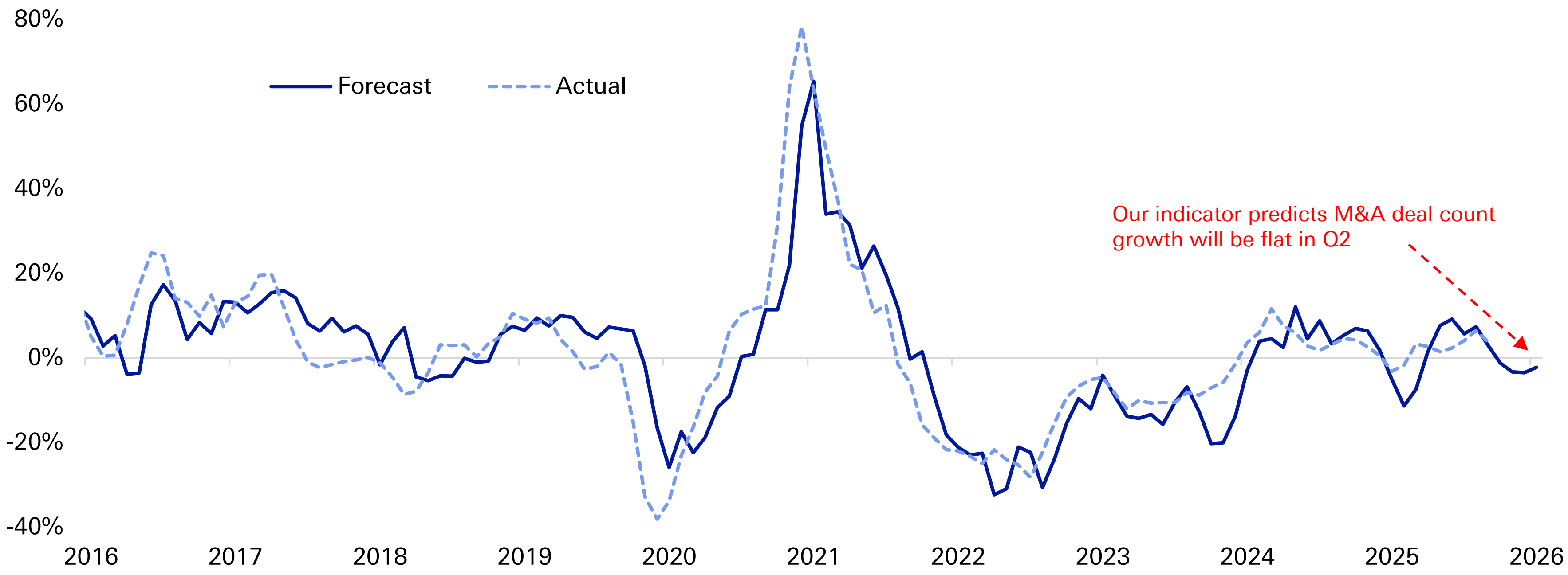


Source: Dealogic, Deutsche Bank.

Our M&A forecast – US

Our indicator for the US suggests that after a good Q1 for deal count growth, we could see a flat Q2 as economic data, especially sentiment and uncertainty indices, has dragged on our forecasts. H2 should then be a period of growth even if the mid-term elections provide some market choppiness.

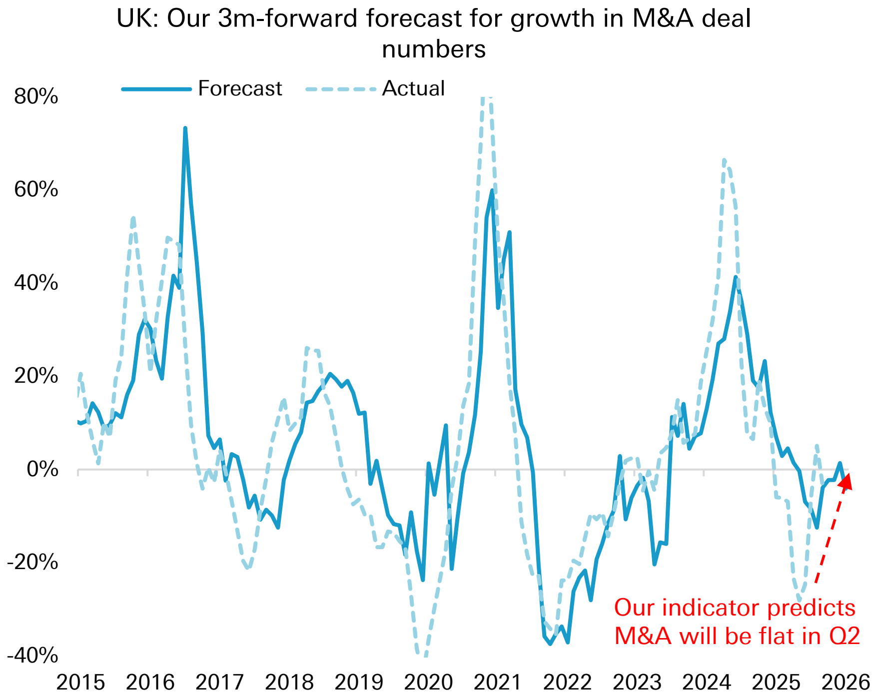
US: Our 3m-forward forecast for growth in M&A deal numbers

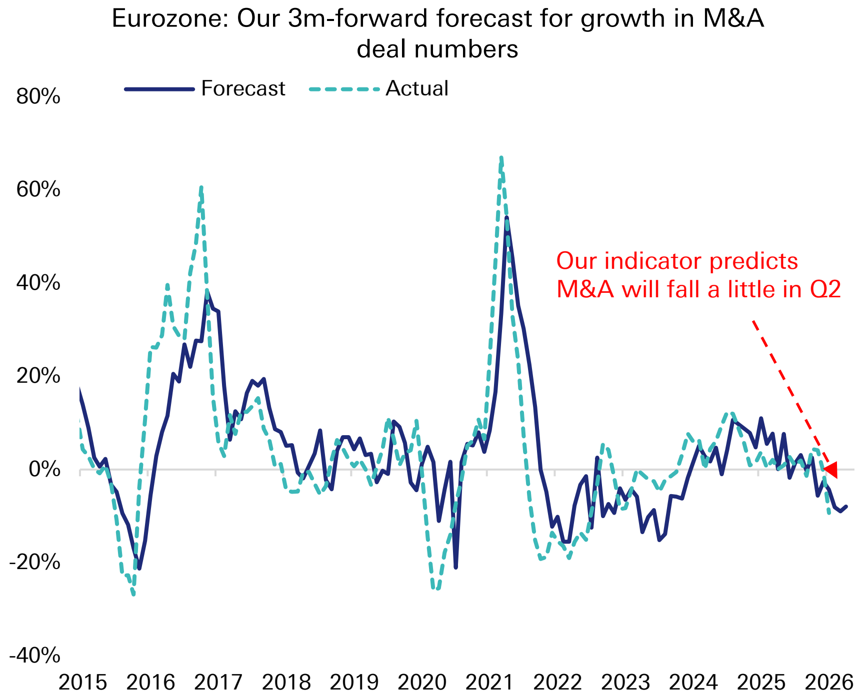


Source: Dealogic, Deutsche Bank.

Our M&A forecast – Europe & UK

We expect near-term UK dealmaking to be more resilient as Europe is weighed on by worsening market conditions. We then expect a recovery in H2



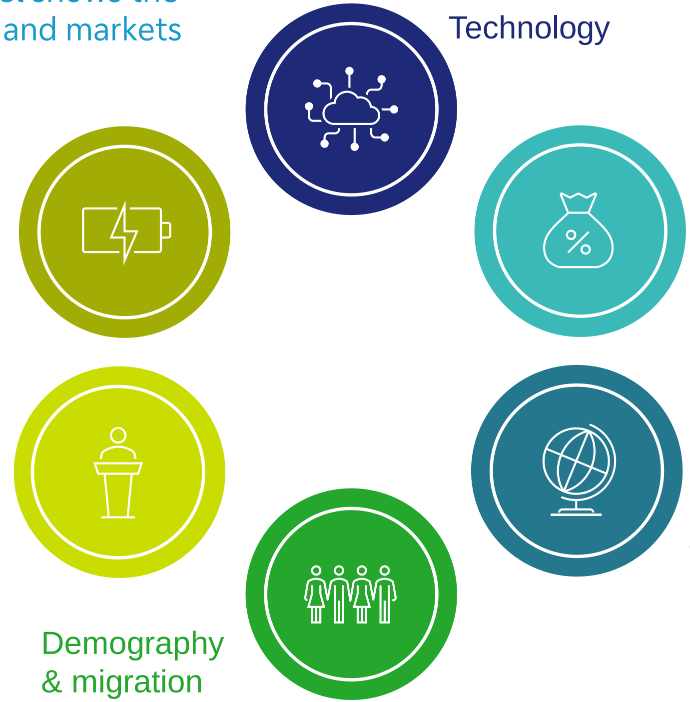


Source: Dealogic, Deutsche Bank.

Megatrends in global economies and markets are increasingly driving M&A

We recently published a brief outline of our quantitative model that analyses how key megatrends affect the S&P 500, GDP, inflation and interest rates here. We have applied this framework to quantitatively assess the effect on M&A markets.

Our quantitative megatrend model shows the impact of 6 trends on economies and markets



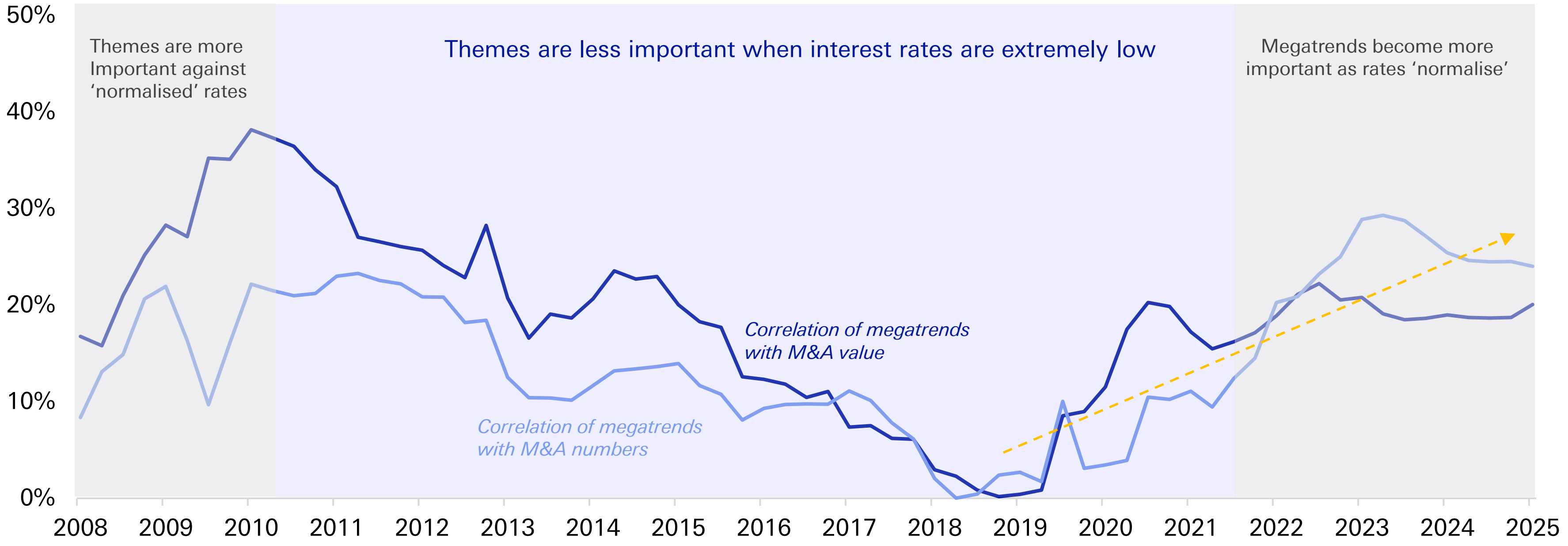
Source: Dealogic, Deutsche Bank.

Megatrends in global economies and markets are increasingly driving M&A cont.

The aggregate of the six megatrends has been increasingly important for US dealmaking after a slump in 2010s

M&A has become increasingly correlated with the growing impact of megatrends

Correlation between megatrend growth and M&A values and volumes (higher = more dealmaking growth attributed to thematic megatrends)

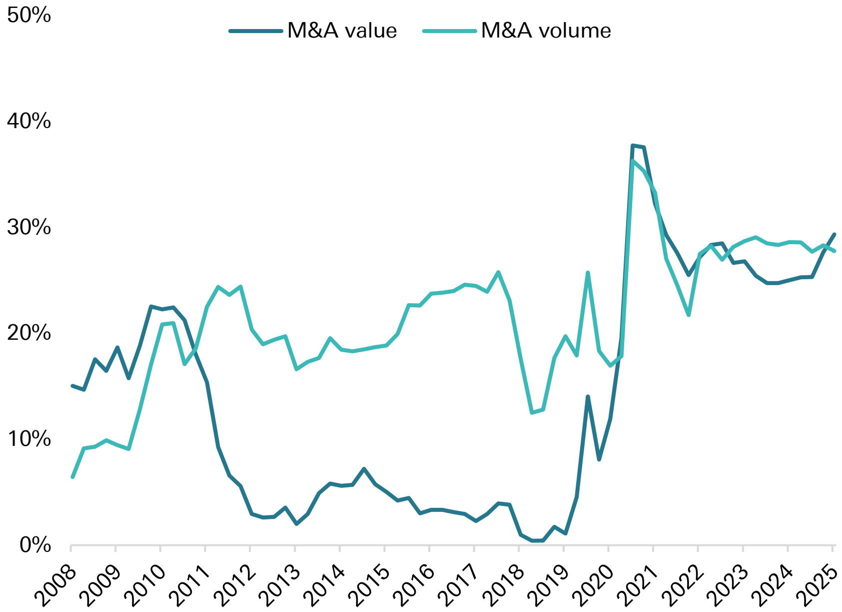


*Source: Dealogic, Bloomberg Finance LP, Haver Analytics, EIA, Deutsche Bank. * Note: rolling 10yr R^2*

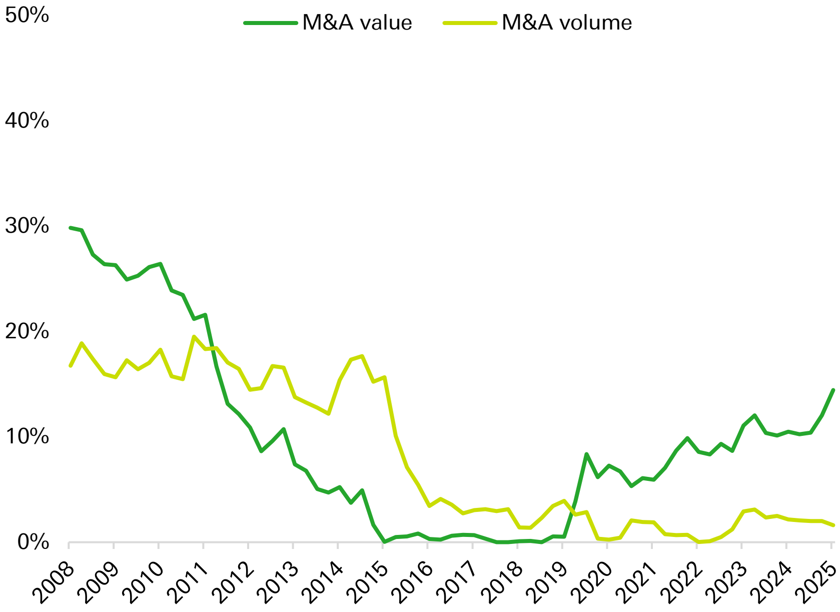
Two important megatrends for M&A are 'technology' and 'geopolitics & globalisation'. The link between these and M&A has been growing tighter.

M&A likes calm geopolitics, but it loves technological advancement. Large deals, in particular, have coincided with greater trade and globalisation in recent years.

Correlation between our **technology** megatrend indicator and M&A values and volumes *



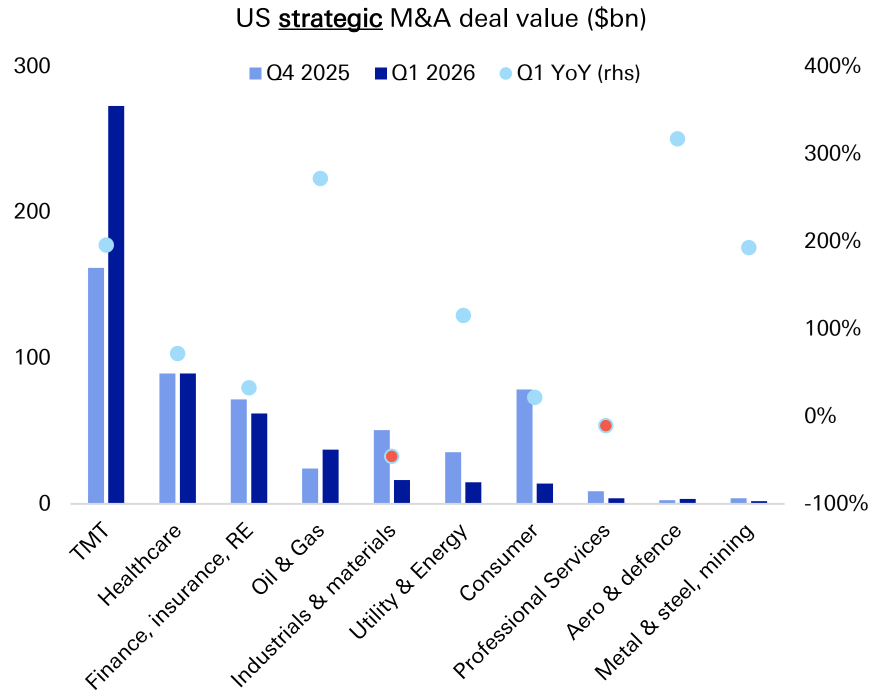
Correlation between our **geopolitics & globalisation** megatrend indicator and M&A values and volumes *

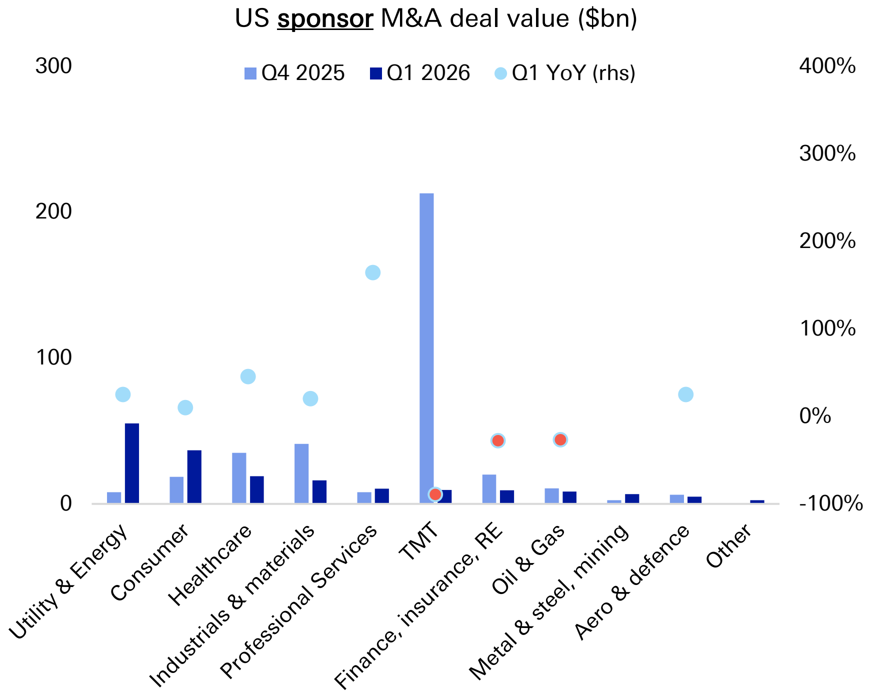


*Source: Dealogic, Bloomberg Finance LP, Haver Analytics, EIA, Deutsche Bank. * Note: rolling 10yr R^2*

Corporate buyers are 'doing something big' (our main theme of 2026 see here)

Demand for corporates to do transformational deals was strong even though it was a bit lower after the big Q4. The most notable drop was in sponsored TMT dealmaking amidst software jitters and the very strong tech dealmaking last year.

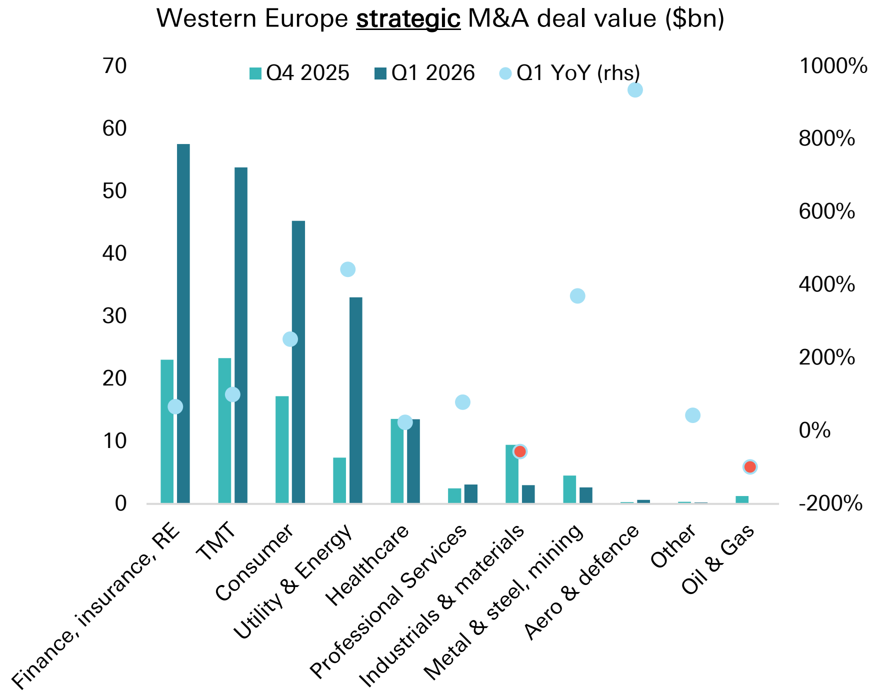


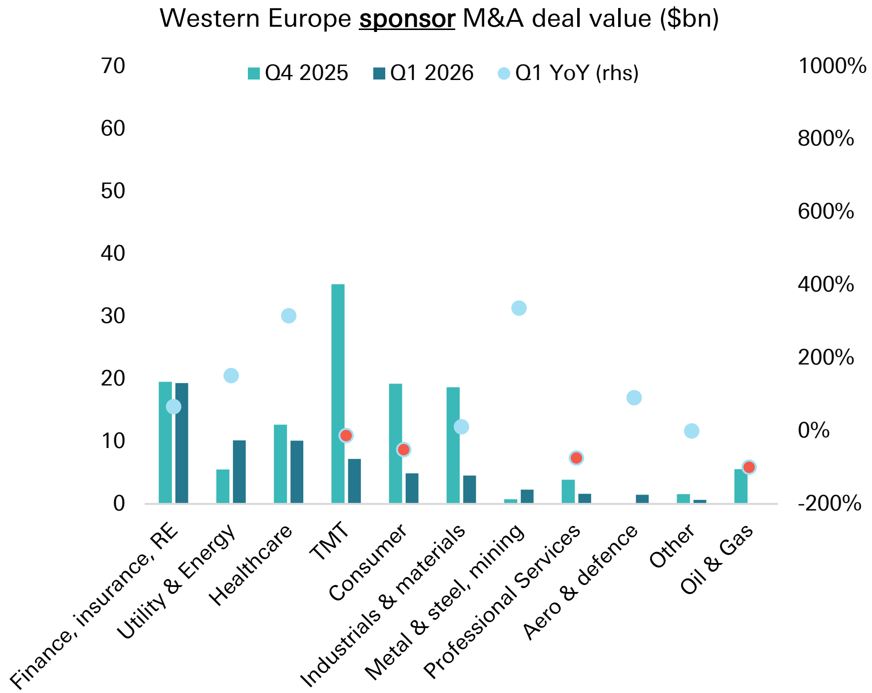


Source: Dealogic, Deutsche Bank.

European corporate buyers are also seeking acquisitions to beat out their peers

In Q1, Western Europe caught some of the residual momentum from the US – a few sectors in strategic M&A more than doubled last quarter. Sponsors, however, slowed down, especially in tech and economically-sensitive sectors.

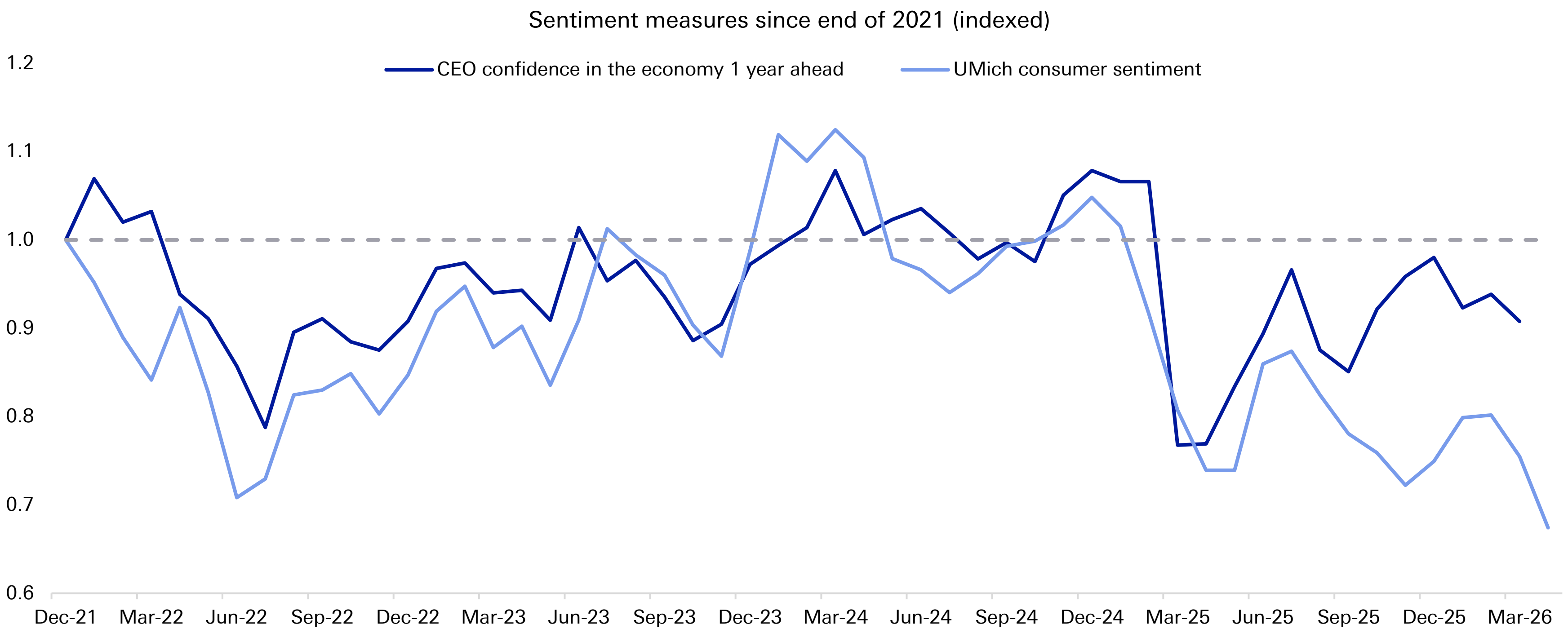




Source: Dealogic, Deutsche Bank.

CEO sentiment is higher than most people think …

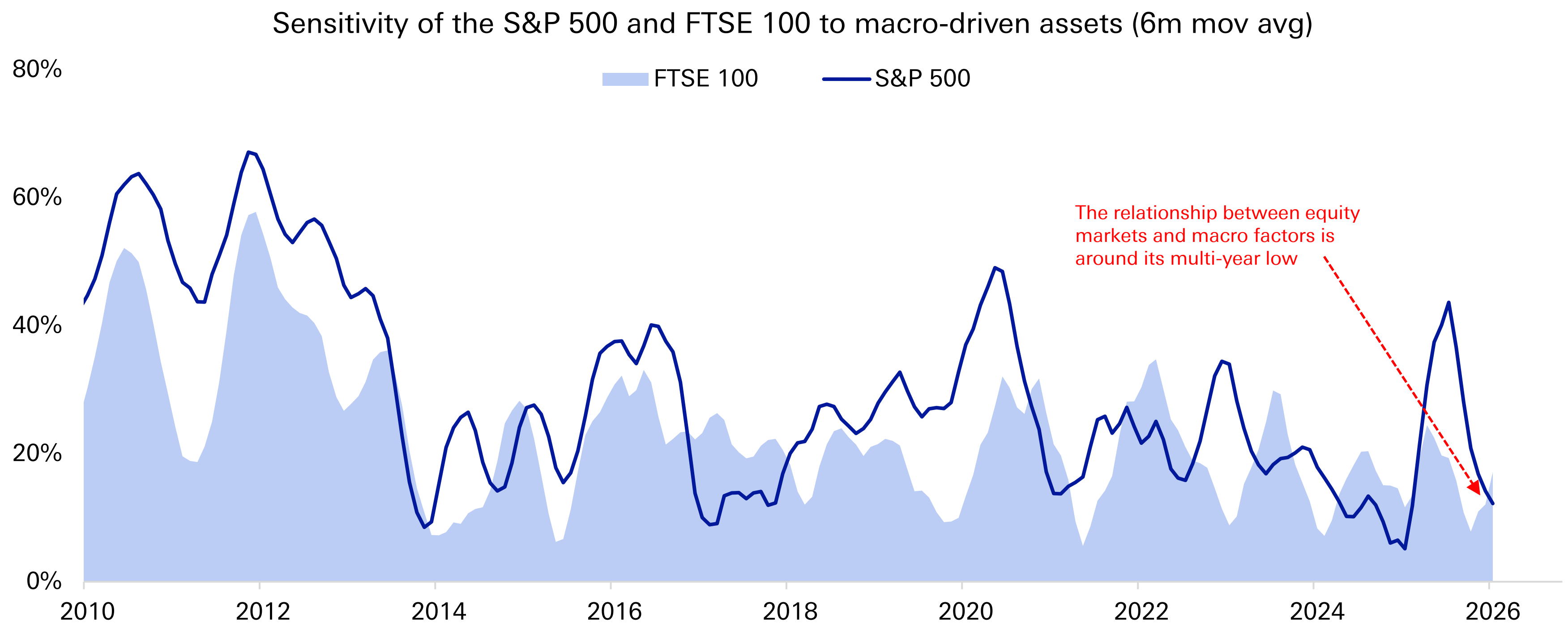
There has been a divergence between consumer sentiment (most talked about) and business sentiment (not so talked about)



Source: Bloomberg Finance LP, Deutsche Bank.

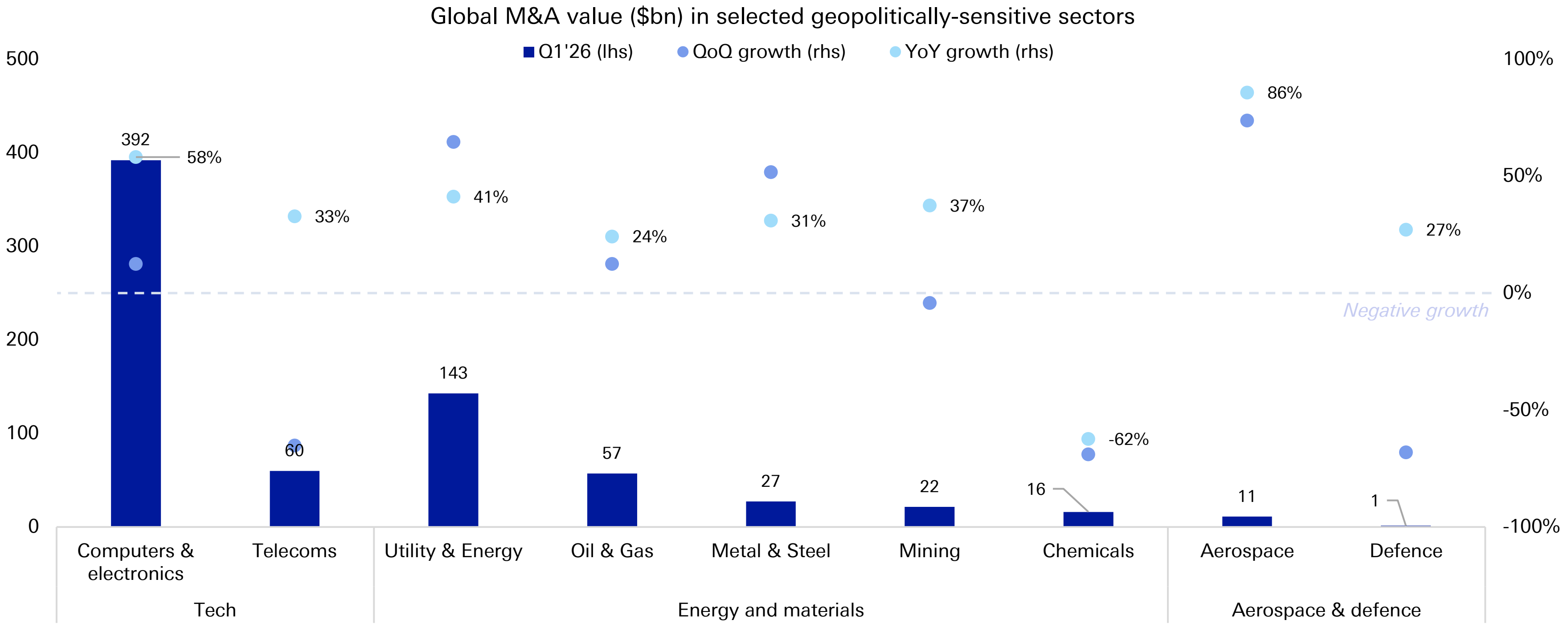
… while the macro backdrop is less important than many expect

M&A markets closely follow broader stock markets which appear less concerned about the macro – we measure this by looking at the correlation of equity markets to several other markets that are highly-sensitive to macro movements.



Source: Bloomberg Finance LP, Deutsche Bank.

Geopolitics and M&A: Globally, deals in sensitive sectors like energy and aerospace & defence did especially well in Q1

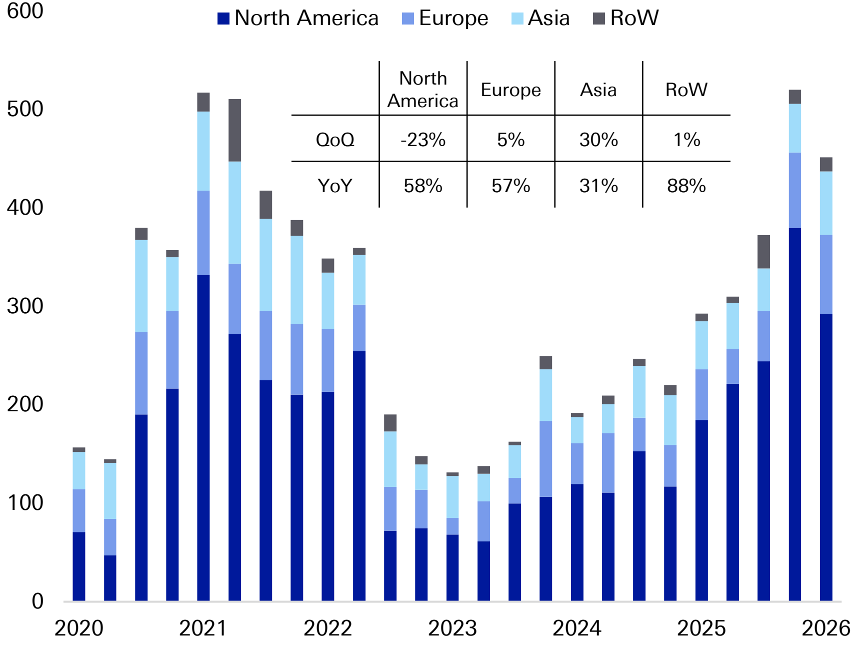


Source: Dealogic, Deutsche Bank.

Geopolitics and M&A: Growth in tech has been strong in Asia, but somewhat slow in North America and Europe after a very strong Q4.

Deal values across all key regions were still up significantly YoY. Tech buyers and sponsors remain the key acquirors.

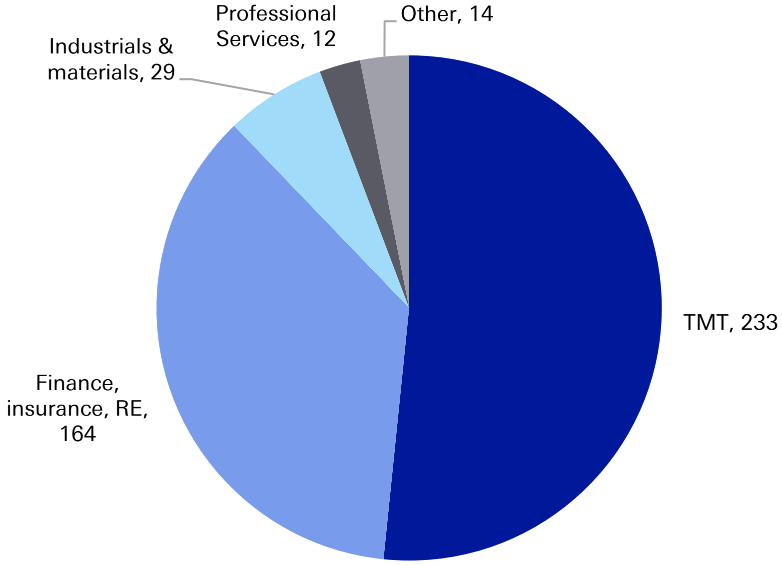
Global technology deals, by deal region ($bn)



	North America	Europe	Asia	RoW
QoQ	-23%	5%	30%	1%
YoY	58%	57%	31%	88%

Source: Dealogic, Deutsche Bank.

Global TMT deals in Q1'26 ($bn) buyers' sector



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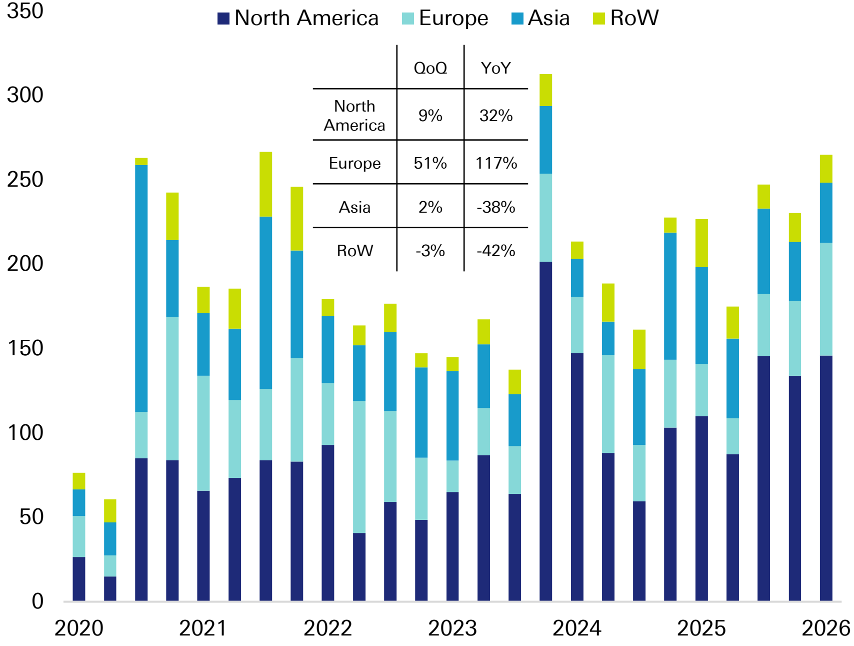
Geopolitics and M&A: Energy and materials had a very strong Q1 in Europe, driven by sponsors

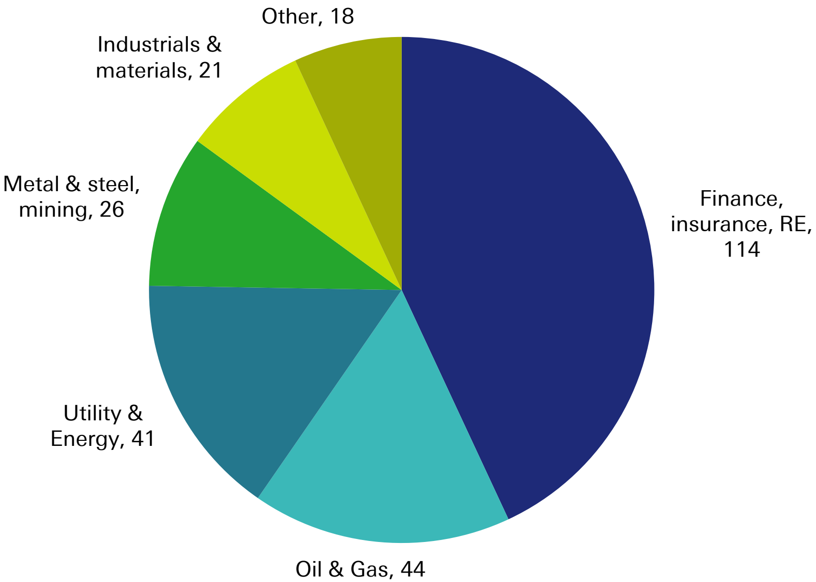
By contrast, growth in Asian dealmaking in these sectors has been lagging.

Global energy and materials deals, by deal region ($bn)



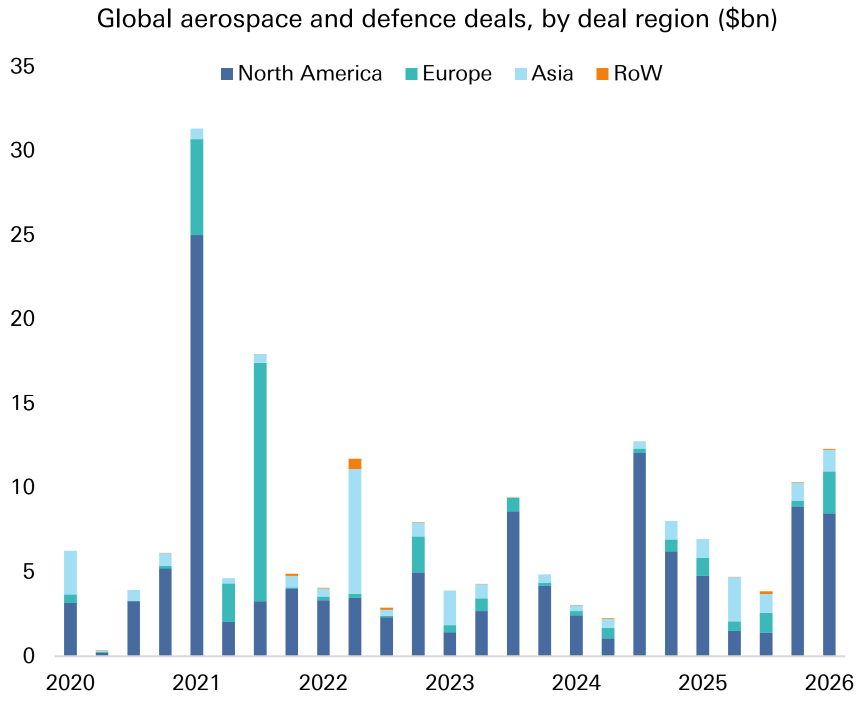
	QoQ	YoY
North America	9%	32%
Europe	51%	117%
Asia	2%	-38%
RoW	-3%	-42%

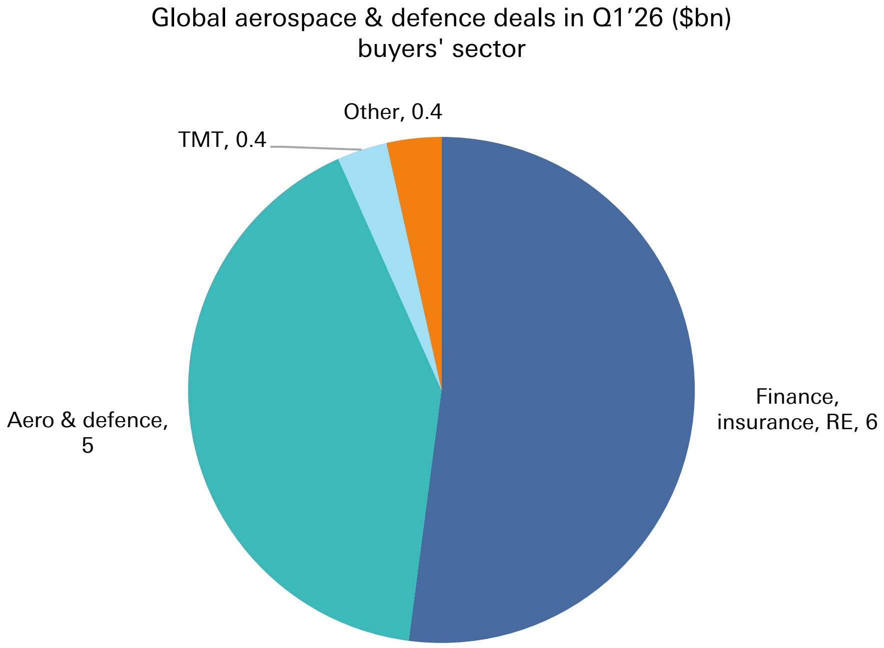
Global energy & materials deals in Q1'26 ($bn) buyers' sector



Source: Dealogic, Deutsche Bank.

Geopolitics and M&A: Aerospace & defence is still a nascent area of dealmaking, but growth was strong in Europe and especially from sponsors.

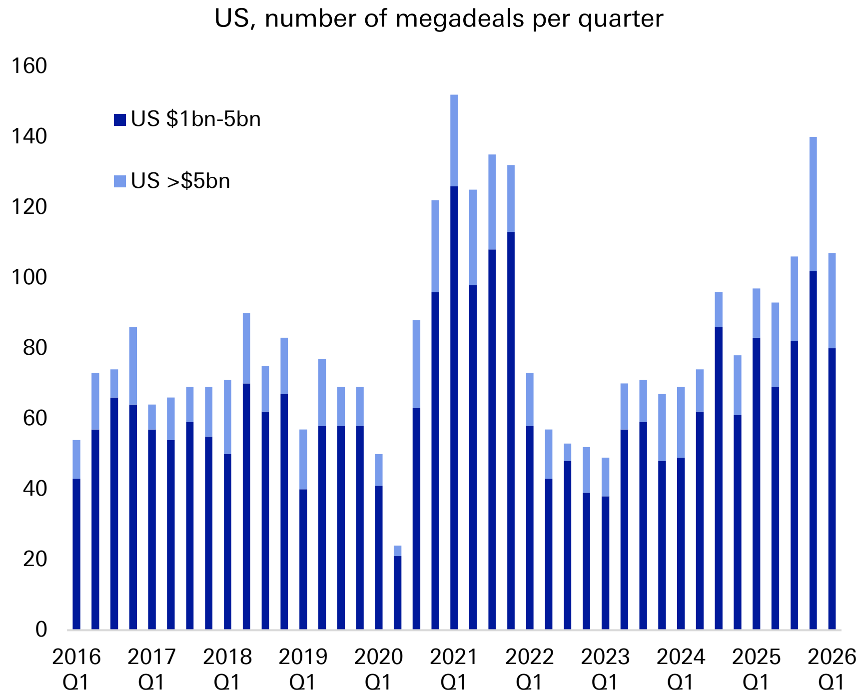


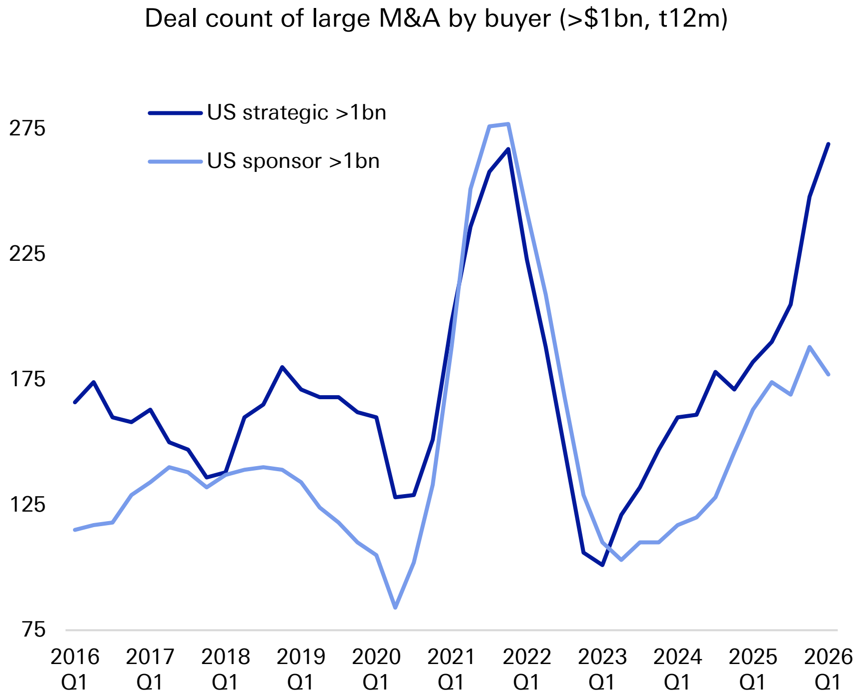


Source: Dealogic, Deutsche Bank.

Megadeals – In the US, these have cooled from a very strong Q4 but remain in an upwards trend

Importantly, more and more megadeals are done by strategic buyers, with sponsors taking a break.

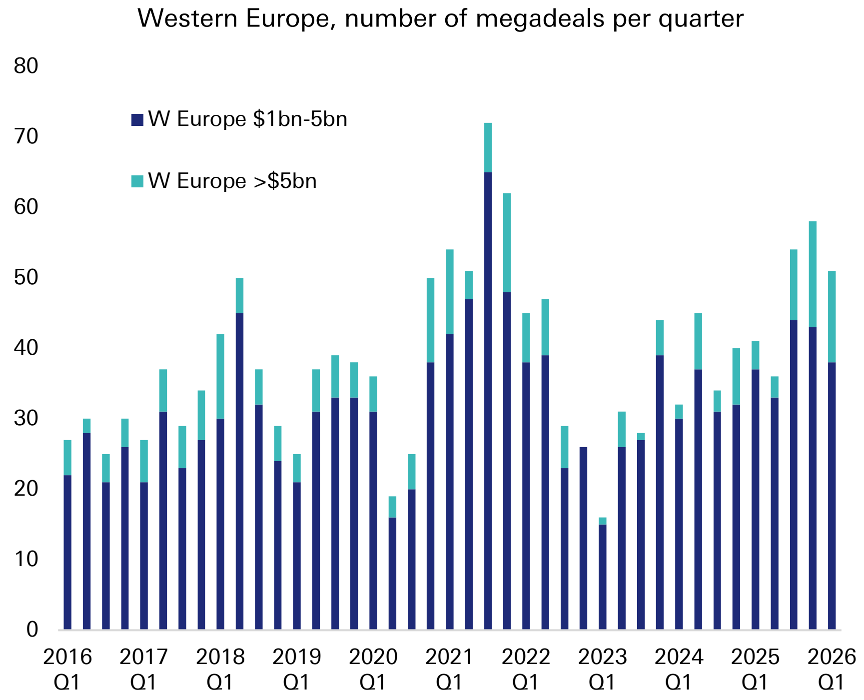


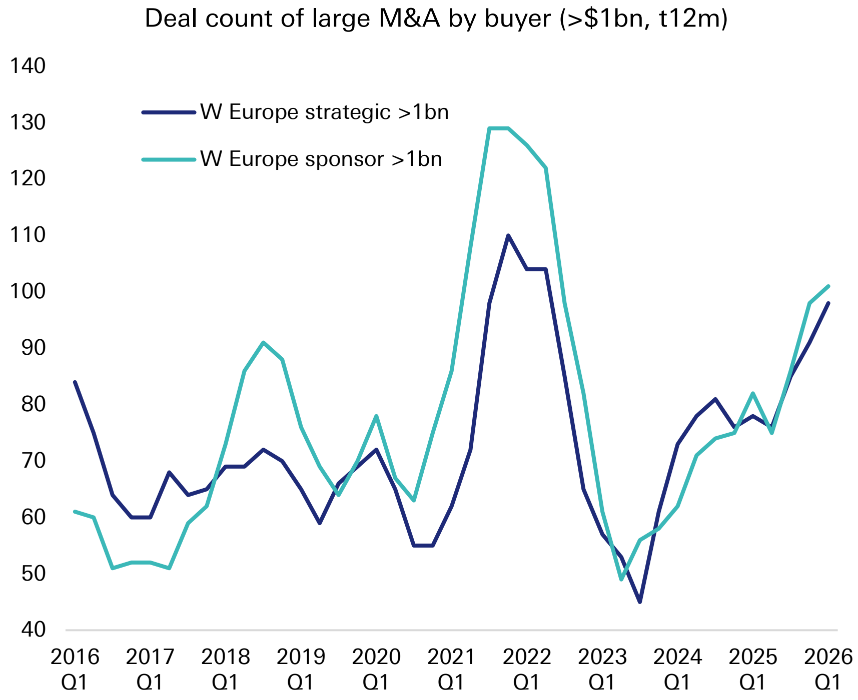


Source: Dealogic, Deutsche Bank.

It's a similar picture in Europe, with a third quarter in a row with a large number of +$5bn deals.

Both strategic and sponsor buyers are doing more +$1bn deals

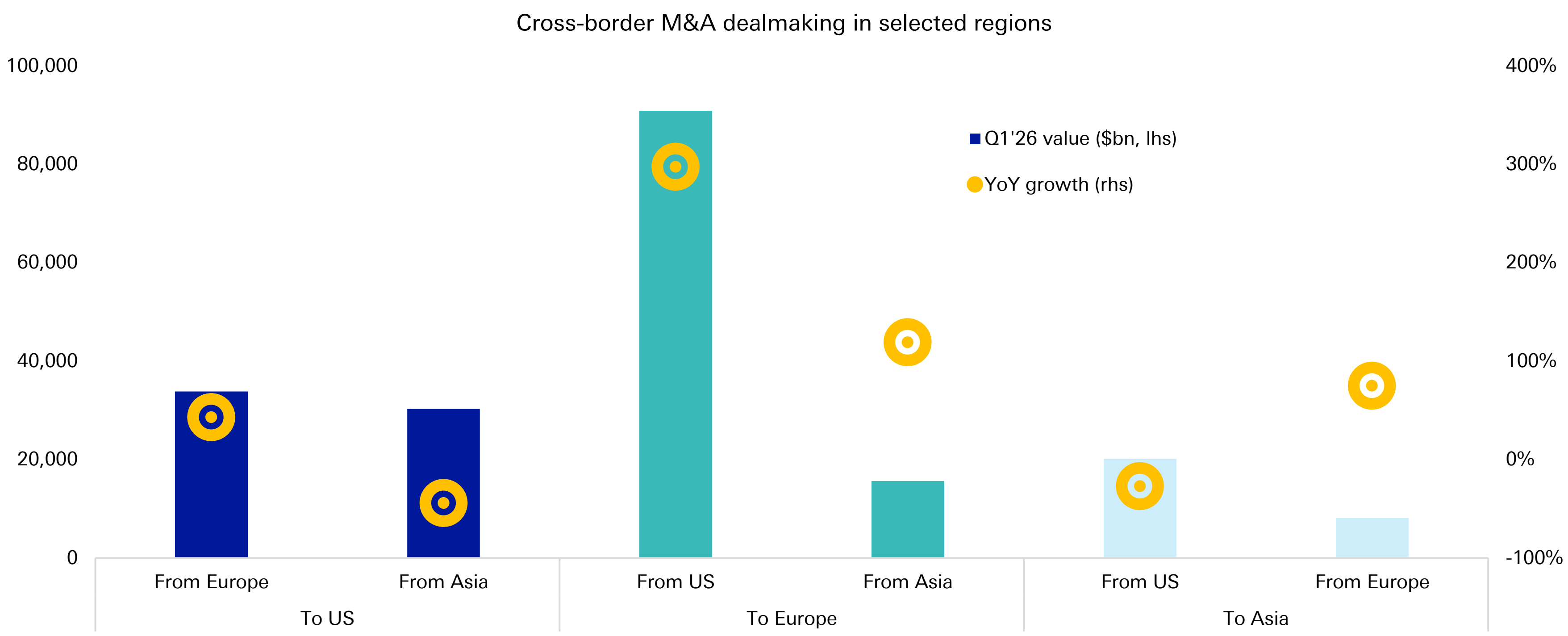




Source: Dealogic, Deutsche Bank.

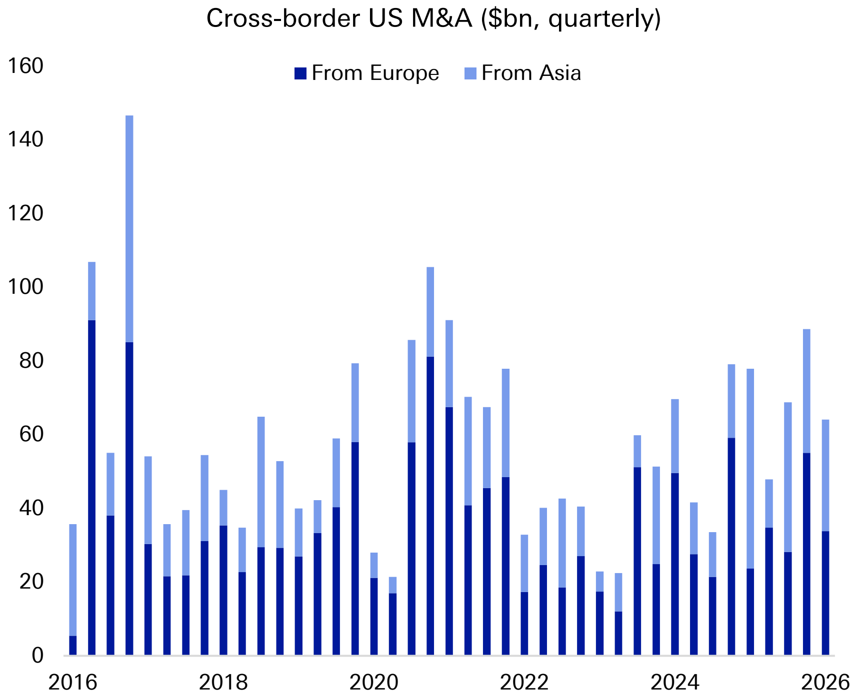
Deal flow between continents – US and European companies are hedging geopolitical risk

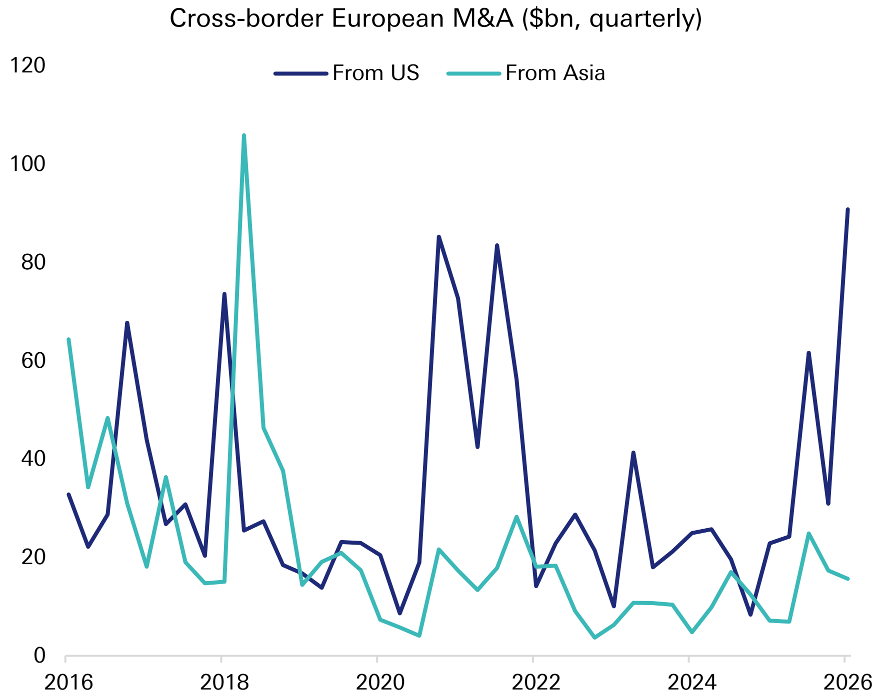
Europe has been the clear winner in terms of interest from abroad, especially the US. Dealmaking between the US and Asia has somewhat slowed.



Source: Dealogic, Deutsche Bank.

Cross-border deals into Europe by US buyers have seen a stronger quarter than during the M&A boom of 2021. Dealmaking by Asian buyers has been steady in both the US and Europe.



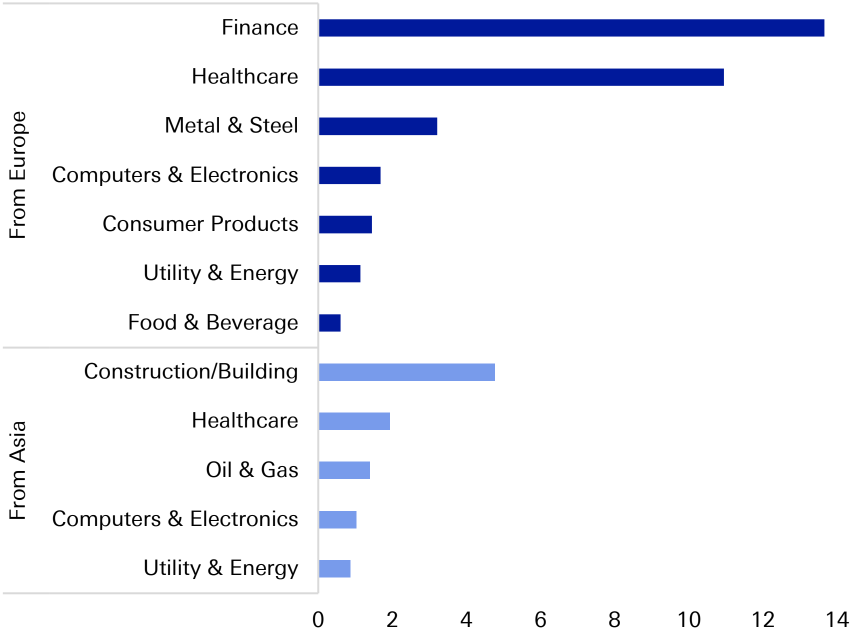


Source: Dealogic, Deutsche Bank.

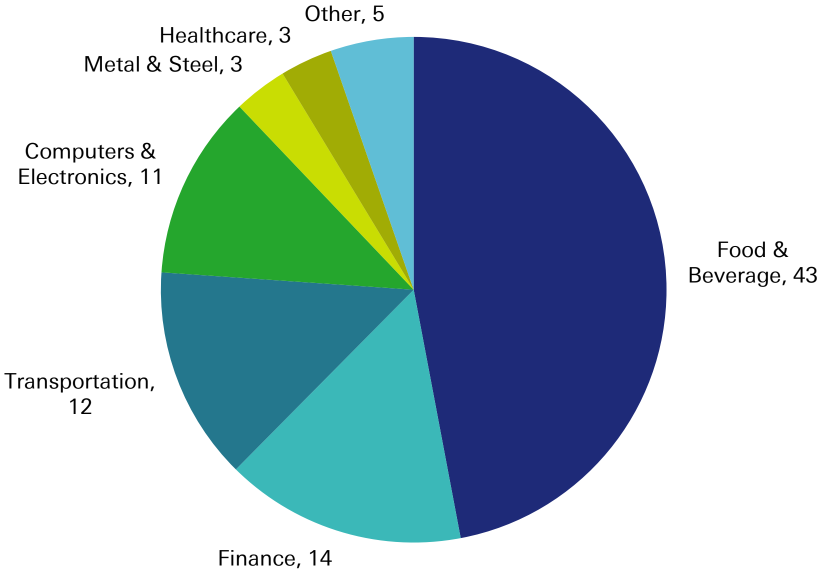
Cross-border US deals have cooled on tech (in line with the market)

Buyers from Europe were focused on defensive finance and healthcare. US dealmaking in Europe has been skewed towards staples, which along with finance and transport added up to c75% of Q1's value.

Cross-border US deals by sector ($bn value in Q1)



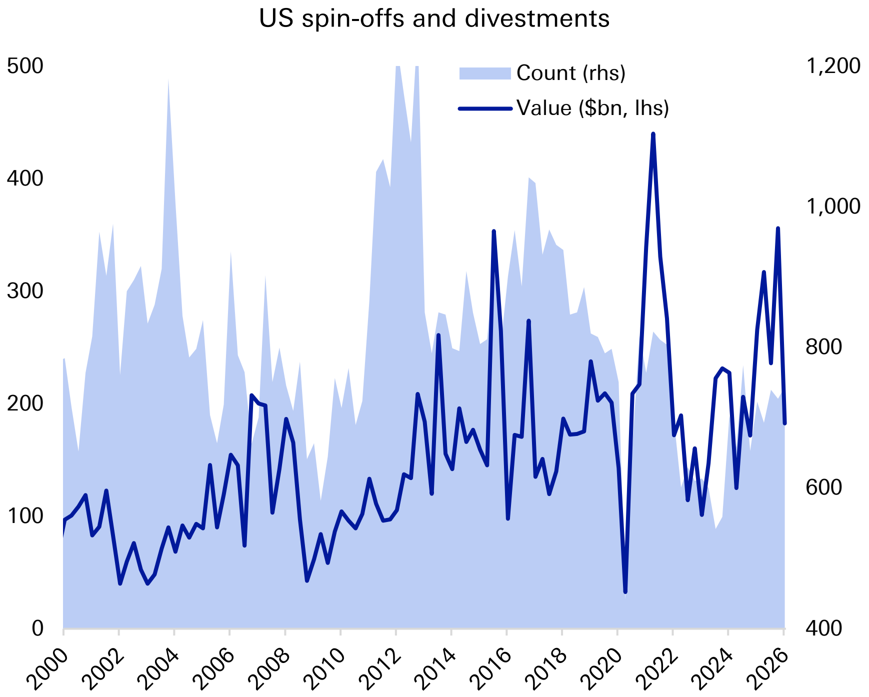
European cross-border deals with the US, top sectors in Q1 by value ($bn)

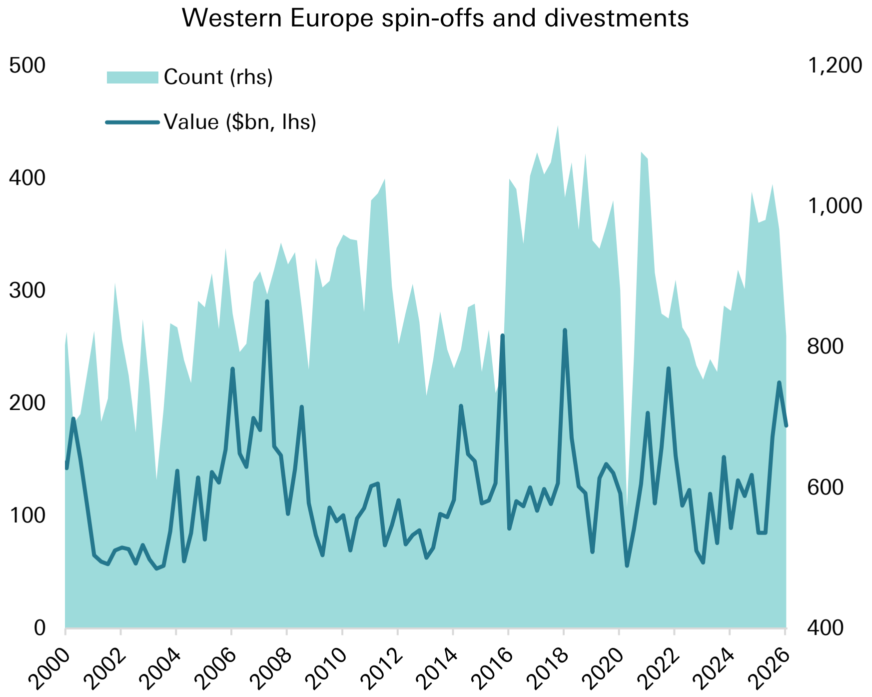


Source: Dealogic, Deutsche Bank.

Efficiency drive: Spin-offs, split-offs, divestments and asset carve outs

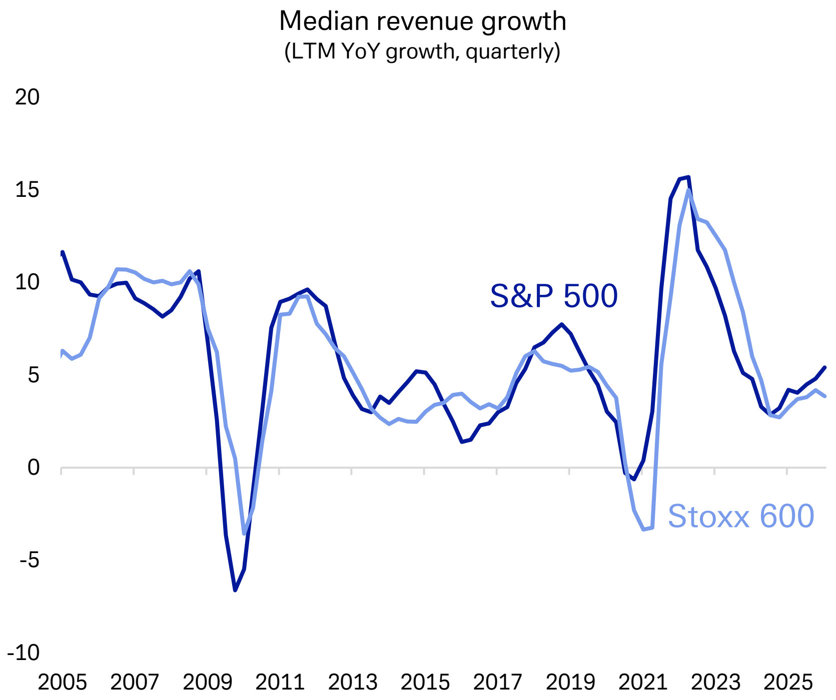
Momentum in Europe stronger than in the US but the push for more efficient operations and better 'asset turnover' is driving divestments as a broader trend. The plentiful dry powder at private equity firms means there are many willing buyers.

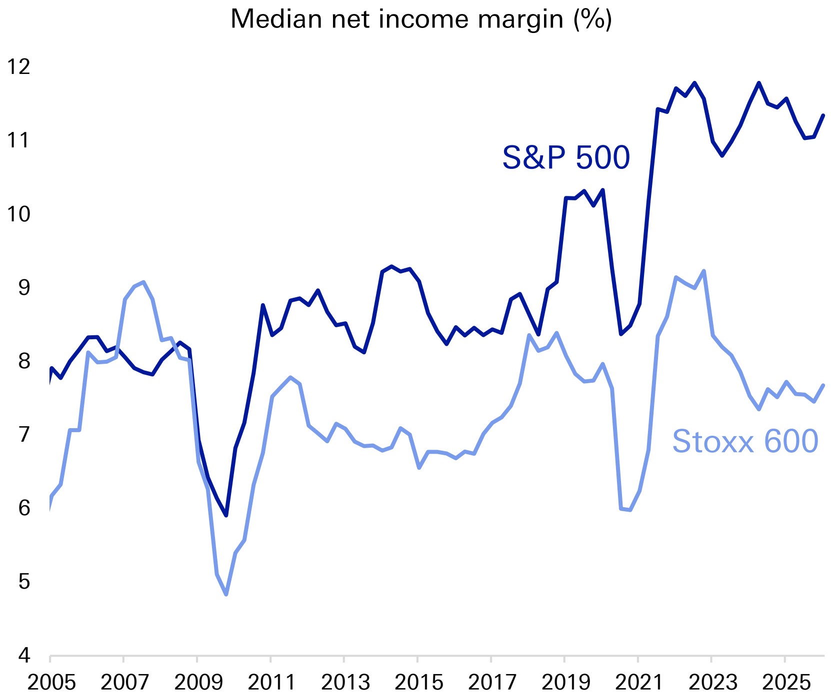




Source: Dealogic, Deutsche Bank.

Growth- and efficiency-centred M&A is becoming a priority as corporates recover from the downtrend in revenue growth and the plateau of profit margins





*Source: Bloomberg Finance LP, Deutsche Bank. * Note: excluding financials, real estate and utilities.*

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